their planning was to be different from the command economies. Such planning has been called as indicative planning by the economists and the experts. Identifying features of indicative planning may be summed up as under:

(i) Every economy following the indicative planning were the mixed economies.

(ii) Unlike a centrally planned economy (countries following imperative planning) indicative planning works through the market (price system) rather than replaces it.[15]

(iii) Side by side setting numerical/quantitative targets (similar to the practice in the imperative planning) a set of economic policies of indicative nature is also announced by the economies to realise the plan targets.

(iv) The indicative nature of economic policies which are announced in such planning basically encourage or discourage the private sector in its process of economic decision making.

After converting to mixed economy by the mid-1940s, France commenced its first six year plan in 1947 which got popularity as the ***Monnet Plan*** (he was the first chairman of the General Planning Commission and the then Cabinet Minister for Planning in France).[16] Later, Monnet Plan became synonymous with indicative planning. This plan is also sometimes described as the *basic sector planning* as the Government had selected eight basic industries as the core of development in which the nature of planning was almost *imperative* i.e. under the state monopoly (these sectors were owned by the private sector till 1944 when France went for their nationalisation)[17]. Other economic activities were open for private participation for which indicative kind of policy-planning was essential. France as well as Japan have followed indicative planning with great successes. It was in 1965 that the UK commenced such a planning with the National Plan and abandoned in 1966 after being overtaken by events (a balance of payment crisis resulting in a deflationary package of measures). Since then the UK never went for the Planning.[18]

Though the first use of economic planning as an instrument of economic progress was done by the USA (with the Tennessee Valley Authority in